

Jem Carson: Market Crashes Every Thursday–Monday for 5 Weeks — Here’s Why

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Speaker Bio

Jem Carson is CIO and founder of Kai Wealth, a macro-driven investment firm focused on options flows and volatility positioning. He is known for integrating Soros-style reflexivity into derivatives analysis — modeling forward price distributions from positioning data rather than macro narratives. He predicted the move from zero rates to 5% in 2021 when consensus viewed it as impossible, and called the Thursday–Monday drawdown pattern at the start of 2026.

Executive Summary

The 2026 market regime is a **compressed-vol pain trade**: equities grind lower in stair-steps, VIX stays suppressed, and every instrument people use to hedge — puts, bonds, precious metals — loses value into declines. Carson explains the mechanical architecture: when vol is well-supplied and the world is broadly hedged, **Vega doesn’t work**. Implied vol gets crushed on the way down (skew steepens, realized moves happen, but your options P&L is flat or negative). This is the same regime as 2022, and it creates a trap where retail buys every dip on calls, and institutions can’t monetize their hedges. The result: a slow melt with no cleanV-bottom to pivot from.

The **Thursday–Monday decay pattern** is the actionable discovery. Carson predicted this in January before Iran escalation: 150% of annual declines would concentrate from Thursday midday to Monday open. The mechanism is structural — vol compression is so extreme that the only mechanism to release risk is unhedgeable event risk (weekend geopolitical news). During the week, speculator shorts get squeezed on Monday morning as vol compresses back. This has played out five consecutive weeks. The administration understands this, which is why they pushed intervention tweets on the sixth week (today) going into a known geopolitical weekend.

The rates view is the structural anchor: 10-year to **7–8% within 2–3 years**. Carson made the same call from zero in 2021 to 5%. The steepener is “an incredible trade that will continue.” The mechanism: equity yield (~4%) vs. 10yr creates a hard ceiling — if 10yr crosses 5%, institutions are forced to rotate, deleveraging private equity and credit collateral chains. The Fed is in a box (can’t fight inflation without raising rates), and the supply-demand imbalance for bonds is so large that Treasury intervention has limits. Geopolitical escalation (Iran/China proxy dynamics) is inflationary structurally for the next 10–15 years — oil, supply chains, fiscal spending.

PM implication: Stay short Vega (sell monthly puts, buy zero-DTE gamma for realized moves). Steepeners — long 30yr, short 2–5yr — remain the highest-conviction structural trade. Fade the Monday morning vol compression squeezes. Avoid precious metals as a hedge here (gets sucked into the vortex). Watch 10yr at 5% as the equity stress trigger. Zero-DTE long gamma is the correct tactical expression in this regime, not Vega.

Listen or Skip?

Verdict: Must-listen — options flow mechanics and the Thursday–Monday pattern are directly tradeable with specific instruments and timing

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Options traders, vol desk PMs, macro traders with derivatives exposure **Skip if:** Looking for fundamental equity analysis or long-only positioning

Key Quotes

1. "When balls dramatically compress like it is and people are hedged, you cannot unpin that until people are worried about some type of risk that they can't hedge. And that weekend risk and the event risk from the macro allows for speculators to short."
2. "We are going to get 150% of the declines of the year from Thursday midday till Monday morning. Go look at a chart — that same exact midday Thursday till Monday morning has played out five weeks in a row."
3. "VIX is just going sideways. But V is collapsing under the hood — you're sliding to a higher and higher V skew. Down 7% in the market, you should have been at 30 vol. If you're at 20, you absolutely got destroyed on your implied volatility."
4. "I'm telling you right now in the next 2–3 years we're going to 7–8 on the 10-year. The steepener has been an incredible trade. It will continue to be an incredible trade."
5. "Positioning is everything. This is what Soros talked about when he talked about reflexivity. If you understand how the world is positioned, you can begin to model forward distributions for outcomes much more reliably."
6. "The Fed cannot control inflation without raising interest rates. They are in a box. The supply-demand imbalance is huge and there's only so much they can do."
7. "Unintentionally they're creating a vortex of no vol expansion — no vol expansion means no bottom — and we're heading into a more prolonged melt that will come in waves."

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Risk-Off (structural melt, not acute crash)
Conviction	High
Time Horizon	Tactical (0-1m) for Thursday-Monday pattern; Structural (1y+) for rates/geopolitics
Primary Domain(s)	Equities Rates Vol/Derivatives Commodities
Why Now?	Liberation Day -1yr; tariff escalation + Iran/China geopolitics creating structural vol suppression with weekend-concentrated drawdowns

Top 3 Investable Ideas:

1. **Long zero-DTE gamma (SPX/SPY)** — buy ATM/near-ATM 0DTE straddles or calls into Thursday opens; sell Vega (monthly options). Realized vol is paying; implied vol is being crushed.
2. **Steepener (2s30s or 5s30s)** — long 30yr Treasuries / short 5yr. 10yr target 7–8% in 2–3 years; structural inflation + fiscal dominance + geopolitical conflict spending.
3. **Fade Monday morning gaps** — sell the Monday open squeeze (vol compresses, shorts squeezed) after Thursday–Friday drawdowns. 5-week pattern; administration now aware and trying to front-run.

2) Key Investable Insights

Insight 1: Thursday–Monday is the concentrated loss window - **Claim:** 150% of annual equity declines occur Thursday midday to Monday open due to structural vol compression and unhedgeable weekend risk. - **Asset Class:** US Equities (SPX/ES futures), VIX term structure - **Mechanism:** Extreme vol supply (everyone hedged) prevents intraweek vol release → only unhedgeable weekend event risk unpins it → speculators short into Friday close → Monday open vol compression reverses the gap. - **Expression:** Short ES/NQ into Thursday midday ; Long 0DTE puts on Thursday open ; Fade the Monday morning open squeeze (sell vol/buy SPX) . - **Trigger to Exit/Flip:** Administration successfully front-runs with sustained Monday-morning policy intervention for 3+ consecutive weeks, OR vol finally expands on a Wednesday/Thursday intraday (vol-bottom formation). - **Confidence:** High

Insight 2: Vega is broken — zero-DTE gamma is the correct hedge expression - **Claim:** In a stair-step vol compression regime, implied vol decays on the way down; Vega-long options lose P&L despite correct directional view. - **Asset Class:** SPX options, VIX futures - **Mechanism:** Skew steepens as market falls → equivalent vol strike moves to lower implied → options priced at 20 vol when realized vol implies 30 → systematic destruction of long-put P&L. - **Expression:** Sell monthly 5% OTM SPX puts (Vega short) ; Buy zero-DTE straddles for realized vol exposure ; avoid rolling VXST/VXX longs. - **Trigger to Exit/Flip:** VIX term structure inverts sharply (front > back) — true vol expansion signal, not just skew move. - **Confidence:** High

Insight 3: 10yr to 7–8% — steepener as secular trade - **Claim:** 10yr Treasury yields will reach 7–8% within 2–3 years driven by structural inflation, fiscal dominance, and geopolitical spending cycles. - **Asset Class:** US Rates (2s30s or 5s30s steepener) - **Mechanism:** Fed in a box (can't cut into inflation); supply-demand imbalance in bonds too large for Treasury to offset; 10yr at 5% creates equity-yield parity that forces institutional rotation → deleverages private credit collateral. - **Expression:** Long TLT or 30yr futures / Short IEF or 5yr futures ; Pay 5y5y forward rates . - **Trigger to Exit/Flip:** Geopolitical de-escalation (China trade deal + Iran ceasefire) + US fiscal consolidation. - **Confidence:** Medium (secular view, not near-term catalyst-driven)

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/Flows
Vol compression + weekend event risk	SPX stair-step lower (Thu–Mon pattern)	VIX stays suppressed → Vega P&L destroyed	Gold/PMS also sold in the vortex (pain across all hedges)	\$500T long assets × 10% drawdown = \$50T collateral destruction	Retail long calls; institutions hedged but Vega losing
10yr yields → 5% +	Equity multiple compression (P/E re-rates lower)	PE/credit deleveraging; private credit margin calls	Bonds NOT a safe haven in this regime	Reduces collateral value for leveraged strategies	Institutional rotation forced by yield parity
Geopolitical escalation (Iran/China)	Oil spike → input cost inflation	Supply chain disruption → persistent CPI above target	EM FX stress; USD strength	Carry unwind in EM	Long oil/energy underowned vs. macro risk

4) Regime & Scenario Analysis

- **Current Regime Fit:** Stagflationary melt — equities down in stair-steps, bonds losing, vol suppressed. Closer to 2022 than 2020 (no vol-bottom mechanism available). Not yet a true crash regime (no vol spike).
- **Base vs Alt Cases:**
 - *Base (60%):* Slow melt continues through H1 2026. Thursday–Monday pattern persists. 10yr drifts to 5.2–5.5%. Vol stays compressed. Steepener outperforms. Revisit post-April FOMC and Q1 earnings.
 - *Alt (30%):* Administration successfully engineers vol spike via coordinated intervention (Fed pivot signal + trade deal), creating a V-bottom. This requires vol expansion first — watch for VIX >35 sustained for 2+ days.
 - *Tail (10%):* Hard vol event (Iran escalation into direct conflict, or China trade war escalation) triggers panic vol expansion — puts work, vol-longs pay, but collateral destruction accelerates across all assets simultaneously.
- **Anti-Thesis Trigger:** VIX term structure inverts (spot > 30-day) for 3+ consecutive sessions — would signal genuine vol release and potential market bottom, invalidating the suppression thesis.
- **Tail Risks:** China direct conflict (Taiwan); oil above \$120 triggering credit event; 10yr gapping to 5.5% in a single week (PE margin call cascade).

5) Hard Data & Verifiable Claims

- **Data:** ES/NQ down 140 handles (~2%) on the day of recording (April 3, 2026)
- **Claim:** Thursday midday to Monday open accounts for 150% of annual equity declines — 5 consecutive weeks confirmed as of recording
- **Data:** Zero-DTE SPX 6600 puts traded at \$0.75, rallied to \$3,000 on the day
- **Data:** Crude oil up 11% on the day; E-minis recovered from lows
- **Claim:** 10yr Treasury to reach 7–8% within 2–3 years (Carson called zero → 5% correctly from 2021)
- **Claim:** \$500 trillion in long assets globally — 10% market decline = \$50T collateral withdrawal from system

- **Claim:** 2018 Feb vol apocalypse and March 2020 COVID collapse both required vol expansion to engineer a market bottom — current regime prevents this
- **Claim:** Crude oil in ~15-point backwardation (market short front-end, long back-end)

6) BS & Bias Filter

- **Incentives:** Carson is CIO of a vol-focused hedge fund. His thesis (zero-DTE gamma long, steepeners) are exactly his positioning — he benefits from others adopting these trades.
- **Blind Spots:** No discussion of credit spreads, IG/HY, or corporate earnings — ignores potential earnings resilience that could break the melt thesis. No quantification of how long the Thursday-Monday pattern can persist before mean-reversion.
- **Track Record:** Claimed correct call: zero → 5% from 2021. Called Thursday-Monday pattern before Iran escalation. Unverifiable in this clip.
- **Consensus Check:** Contrarian on zero-DTE (says buy it, not avoid it); contrarian on Vega (says it's broken); consensus on steepener (widely held 2025-2026 trade).
- **Sample Bias:** Entirely US-centric. No mention of European rates, EM equities, or non-USD carry dynamics.

7) PM Bottom Line

Action → Trade + Monitor

The Thursday–Monday decay pattern is structurally grounded and five-week confirmed — this is the highest-conviction near-term tactical trade. Buy zero-DTE gamma into Thursday opens, sell Vega exposure in monthlies. For structural positioning: steepeners (2s30s) remain correct; avoid using gold or long puts as portfolio hedges in this vol-compression regime.

Key watches: 10yr at 5.0–5.2% (equity stress trigger); VIX >35 sustained (vol-bottom signal, regime change); Monday open gaps (fade the squeeze); Iran/China weekend headlines (the mechanism that releases the Thursday sell-off).